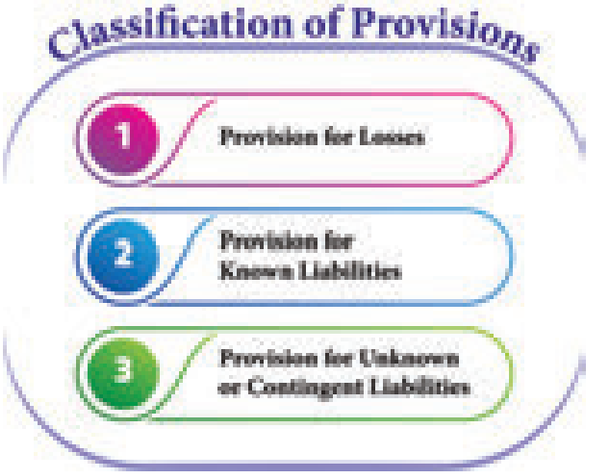
8.2.3 Classification of Provisions

Provisions can be broadly classified as follows:



1. **Provision for Losses:** An amount which is set aside out of the earnings of the company to meet losses, for example, (1) loss on account of depreciation on fixed assets (2) loss on account of repairs and renewals etc.
2. **Provision for Known Liabilities:** Provision which is created for known liabilities or expenses which arise in future, for example, (1) Provision for Income Tax, (2) Provision for Dividend, (3) Provision for discount on Debtors and Creditors, (4) Provision for outstanding expenses such as outstanding salaries and wages, payment on retirement such as pension, provident fund, gratuity etc.
3. **Provision for Unknown or Contingent Liabilities**

   Provision created for unknown or contingent liabilities, for example, (1) Provision for bad and doubtful debts, (2) Provision against disputed claims, (3) Provision against guarantee, (4) Provision against compensation, (5) Provision against payment of arrears of dividend.

Provision for Repairs and Renewals: Provision created to equalize the charge of repairs and renewals over the life of the asset.
Provision for discount on debtors and creditors: Provision is created when a debtor makes payment within the prescribed period or when a certain amount of discount is allowed. Similarly, a business concern earns discount on making payment to suppliers.
Provision for Bad and Doubtful Debts: Provision for bad debts is created when a debtor fails to pay the whole or a part of the debt owing by them. The expected loss on account of bad debts should be charged to current year's profit.

8.2.4 Auditor's Duties

1. **Examine Articles of Association:** The auditor should examine the provisions of the Articles of Association to confirm the appropriations created for a specific purpose.
2. **Examine Directors Meeting Minute Books:** Auditor should examine the Minute Book of the Board of Directors to verify the provisions to be made.
3. **Disclosure in Financial Statements:** He should ensure that all provisions are properly disclosed in the Profit and Loss Account and Balance Sheet.
4. **Adequacy of Provision in Financial Statement:** He should ensure that adequate provision has been shown in the financial statement. If in case, the provision created is not adequate, the auditor should mention the fact in the report.

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